

looking into the word “organic”. Amul told farmer-co-operatives: go organic, and we will find you the market. “To consumers, it is a product promise free of chemicals. If we get it right, we can be in every item of the kitchen,” he says confidently. In a moment, some staff members walk in with what is already there in the market—whole wheat *atta*, basmati rice, *chana dal*, *toor dal*, *rajma*—with the plan to be in turmeric, spices, sugar and jaggery.

Amul will buy directly from farmer-producer companies or FPCs, farmer-run companies offering scale to buyers. “This is the direction we are taking. It’s not as if organic has not been there but the trust is missing, and we have a right to win,” says Mehta.

The question is, why didn’t Amul enter the business earlier? He says now is the time to build scale. Plus, things have changed after the Covid-19 pandemic. “Not many people know we are the largest probiotic brand in the world. We sell 3 million litres of pouched *chaas* every day, and a few months ago, we decided to go probiotic with the entire lot.” Even the Amul choco bar is probiotic. The success with probiotics—microbes added to enhance the nutritional value in dairy products—has made Amul more confident.

This conversation with Mehta in his Anand office, a little over an hour from Ahmedabad, is not just about rice and pulses. It is around 7:30 p.m., and he asks if I would like to sample some of Amul’s new products. Soon, the table is filled with sweets, chocolates and a surprising array of beverages. Amul sells over 35 varieties of sweets (for a long time, it sold only *shrikhand*), and the team hands me a box of marzipan. At ₹250 for eight pieces, the almond and chocolate confectionery makes for a perfect combination before you are offered a frozen



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PROFESSOR OF
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“They [Amul] want to reduce overdependence on dairy and... diversify their portfolio...[there are] opportunities to use excess capacity across the value chain”



FOOD FORAY The Amul food products plant in Anand, Gujarat

CHANGING TASTES

► **Milk and milk products brought in 96 per cent of Amul’s ₹55,070-crore revenue in FY23**

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► **It sees an opportunity in the \$1.3-billion organic food market, one that is fragmented and has several small players**

► **At the same time, it is also completely reorienting its dairy business by entering new categories and offering more within existing ones**

► **Amul’s scale of operations—starting with procurement all the way to marketing and an understanding of the end consumer—is beneficial**

► **The objective is to give farmers the highest price and charge the lowest from the consumer. In the process, a product category becomes democratised**